

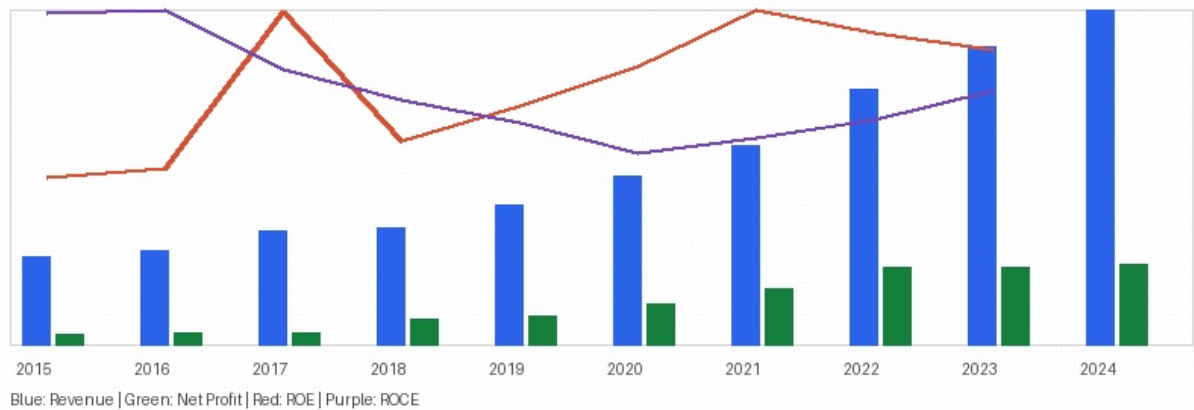
Indian Railway Finance Corporation Ltd (IRFC)

ROE 13.04%	ROCE 5.75%	NPM 24.06%
D/E 8.38	Revenue CAGR 19.07%	FCF 7,906.00

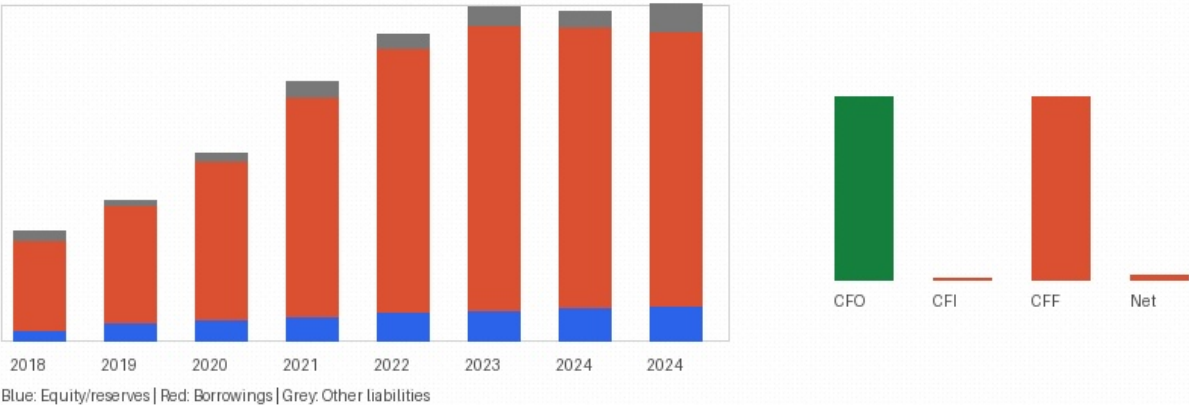
Sector: Financials | **Sub-sector:** Speciality Finance

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
Operating profit margin above 25% indicates strong pricing power and cost discipline	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Net profit compounding at above 20% over 5 years creates significant shareholder value	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Shareholder Returns